APPLE INC.

Equity Research Investment Thesis | AAPL | NASDAQ

Investment View | HOLD (model-based, conditional)

Apple has a broad hardware and services business. Apple's financial performance shows meaningful services growth, while its valuation depends heavily on the terminal-value method. The primary exit-multiple DCF value is below the October 8, 2026 price. A HOLD is therefore a cautious interpretation of our valuation model, not an independent live-price recommendation. No updated market price or external consensus estimates were used.

Key measure	Value / basis
Reference share price	$340.42 | model pricing date: 8 October 2026
Exit-multiple DCF, rolled forward	$317.79 per share | 6.6% downside
Perpetuity DCF, rolled forward	$147.41 per share | 56.7% downside
Model WACC	10.08%
Exit EV / EBITDA	29.38x
Perpetual growth	3.0%
Forecast period	FY2026E–FY2030E

Source: aApple DCF(4).xlsx, Valuation; model assumptions and pricing outputs.

Thesis in Three Points

1. Services is an important source of growth. Apple's Services revenue increased from $96.17bn in FY2024 to $109.16bn in FY2025. This supports a growing recurring-revenue component, although the available segment disclosures do not establish the profitability of every individual service.

2. Hardware remains economically central. iPhone revenue of $209.59bn in FY2025 is far larger than any other single product line in Apple's revenue mix. Apple remains exposed to the replacement cycle, consumer spending and premium-device demand.

3. Valuation leaves little room for error. The exit-multiple valuation is closer to the reference price than the perpetuity method. The wide gap signals major terminal-assumption risk rather than a narrow, reliable fair-value range.

1. Business Model and Revenue Mix

Apple sells devices and related services. Apple reports revenue across iPhone, Mac, iPad, Wearables, Home & Accessories, and Services. Geographic sales, debt, capital expenditure and product volumes provide further context for its operating performance. Hardware sales provide the installed base from which services may earn revenue; the available figures do not isolate the causal impact of the installed base on services spending.

Product line	FY2024A	FY2025A	Growth
iPhone	$201.2bn	$209.6bn	4.2%
Mac	$30.0bn	$33.7bn	12.4%
iPad	$26.7bn	$28.0bn	5.0%
Wearables, Home & Accessories	$37.0bn	$35.7bn	-3.6%
Services Net Sales	$96.2bn	$109.2bn	13.5%

Source: bApple Fundamentals(5).xlsx, Apple Product Revenue; USD billions.

Total revenue increased from $274.5bn in FY2020A to $416.2bn in FY2025A, a five-year CAGR of 8.7%. This is a historical growth rate, not a forward forecast.

Investment implication: Revenue grew at an 8.7% five-year compound rate, but the FY2025 mix is increasingly important. Services generated $109.2bn, or approximately 26.2% of total sales, while iPhone contributed about 50.4%. This combination supports a more diversified earnings base, although the iPhone cycle remains the largest single driver of sales.

2. Financial Performance and Quality

Gross Profit: $180.7bn in FY2024A and $195.2bn in FY2025A, a change of 8.0%.

Operating Income (EBIT): $123.2bn in FY2024A and $133.1bn in FY2025A, a change of 8.0%.

Net Income: $93.7bn in FY2024A and $112.0bn in FY2025A, a change of 19.5%.

Operating efficiency and balance-sheet measures provide an important counterbalance. The FY2025 current ratio was 0.89x, versus 0.87x in FY2024, while interest-bearing debt-to-equity declined from 1.87x to 1.34x. The cash conversion cycle remained negative at -70.8 days in FY2025 (using a 360-day convention), reflecting favorable working-capital timing. The unusually high FY2025 return on equity of 171.4% should be interpreted cautiously because its book-equity denominator is affected by Apple's capital structure and shareholder distributions.

Selected ratios reinforce this assessment. Gross margin increased from 46.2% in FY2024 to 46.9% in FY2025, while EBIT margin rose from 31.5% to 32.0% and net margin improved from 24.0% to 26.9%. Return on assets increased from 26.1% to 30.9%, indicating stronger profit generation relative to assets. These improvements support the earnings-quality argument, although they do not by themselves establish an attractive valuation.

Investment implication: The improvement in operating margin from 31.5% to 32.0%, alongside a 19.5% rise in net income, indicates that earnings growth outpaced revenue growth in FY2025. However, the 0.89x current ratio and high debt-to-equity ratio warrant continued attention to liquidity and capital allocation; the exceptionally high ROE should not be interpreted as a stand-alone measure of economic returns.

3. Industry and Competitive Position

Smartphones and premium pricing

Global smartphone revenue forecasts, premium-device demand, ownership trends and emerging-market shipments inform two key investment questions: how quickly the overall market expands and whether Apple can sustain its premium revenue share. Industry revenue forecasts are estimates, not realized sales. Market share based on shipments should not be presented as revenue share.

Global smartphone industry revenue is forecast to rise from $602.8bn in 2025 to $637.1bn in 2026, or approximately 5.7%. This is a forecast for the wider market, not an estimate of Apple's iPhone sales; Apple's ability to benefit depends on its competitive position and premium-device demand.

Investment implication: The forecast 5.7% expansion in global smartphone revenue provides a supportive industry backdrop, but Apple's iPhone growth of 4.2% in FY2025 was below that forward industry growth rate. Because these figures cover different periods, they are not a direct market-share comparison. The investment case depends on Apple maintaining premium pricing and generating upgrades rather than simply matching market expansion.

Mac and the computer market

Computer vendor shipments and industry revenue forecasts offer two perspectives on market growth. For Apple, unit share and price/mix should be assessed separately. A market can show moderate shipment growth but faster revenue growth if average selling prices or product mix rise. The data do not, by themselves, prove which factor explains the difference.

iPad and tablets

Tablet vendor shipments and industry revenue forecasts help distinguish unit demand from changes in market value per device. Apple's FY2025 iPad revenue was $28.0bn. Market forecasts should not be treated as certain future demand.

The tablet industry revenue forecast increases from $114.66bn in 2025 to $121.61bn in 2026, an increase of approximately 6.1%. The figures suggest expected market expansion, but they do not establish Apple's future tablet market share.

Wearables and services

Wearable shipments, market size, streaming, cloud storage, app distribution and digital wallets are relevant to Apple's competitive position. The range of services is strategically important because Apple is not dependent on only one subscription or payment product. However, app counts, registered users, active users, subscribers, transaction value and revenue are different measures and should not be combined into a single market-share figure.

The wearable-device market-size forecast rises from $203.38bn in 2025 to $231.45bn in 2026, implying approximately 13.8% growth. This is a broad industry forecast rather than a projection of Apple's Wearables, Home & Accessories revenue; Apple's own FY2025 category revenue declined 3.6%. The contrast highlights why industry growth should not automatically be translated into company growth.

Investment implication: The divergence between projected wearable-market growth of 13.8% and Apple's 3.6% decline in Wearables, Home & Accessories revenue during FY2025 is a useful warning against assuming that a growing addressable market automatically produces growth for Apple. Product mix, replacement cycles and competitive execution matter.

4. Semiconductor Industry: Apple Silicon and the Investment Case

Apple designs its own chips for several devices. Apple began moving Macs from Intel processors to Apple silicon in 2020. In March 2026, Apple announced M5 Pro and M5 Max processors, including a design that connects two dies in one system-on-chip package. Apple later announced its M6 chip, built on a 2-nanometer process, in August 2026. [S1–S3]

Why this matters: Apple-designed processors can help the company control device performance, energy efficiency and the timing of hardware features. On-device AI is another possible reason customers may upgrade. These are strategic opportunities, not proof of higher future iPhone or Mac sales. The DCF should only reflect higher demand or margins when those assumptions are supported by financial evidence.

Manufacturing is a separate source of risk. TSMC's 2025 annual report describes investment in leading-edge manufacturing and advanced packaging, as well as expansion in Arizona. Its disclosures show why advanced chip production requires large investment and specialized capacity. Supply constraints, manufacturing concentration, yields and the cost of leading-edge processes are therefore relevant risks to monitor. [S4]

Useful research indicators include Apple silicon performance per watt, device upgrade rates, gross margin by product versus services, chip-node transition costs, foundry capacity, and whether AI features increase customer spending. The earnings impact of Apple silicon has not been quantified; our valuation therefore assumes no incremental chip-related revenue uplift.

5. Discounted Cash Flow Valuation

Our DCF forecasts unlevered free cash flow for FY2026E–FY2030E and discounts it at a 10.08% WACC. It uses an end-of-year convention and calculates terminal value in two ways: an EBITDA exit multiple of 29.38x and a 3.0% perpetual growth rate. The valuation then rolls the September 27, 2025 valuation forward to its October 8, 2026 pricing date and subtracts interim dividends. The share values below are the rolled-forward outputs, not the earlier valuation-date outputs.

($ in millions, except per share)	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Unlevered Free Cash Flow						
EBIT		156,430	160,255	169,069	177,522	185,511
Depreciation & Amortization		11,451	13,136	14,913	16,780	18,731
Changes in Working Capital		(2,928)	3,675	2,903	2,785	2,632
Capital Expenditure		(13,354)	(15,166)	(16,000)	(16,800)	(17,556)
Taxes (tax rate x EBIT)		(26,593)	(27,243)	(28,742)	(30,179)	(31,537)
Deferred income taxes		72	386	576	650	637
Total Unlevered Free Cash Flow		**125,078**	**135,042**	**142,720**	**150,759**	**158,417**
Net Present Value Calculation						
Period (end-of-year convention)		1	2	3	4	5
Discounted Cash Flow	10.08%	113,625	111,443	106,994	102,671	98,007
Total Net Present Value	**532,739**					

Terminal Value	
EBITDA Method	
Exit Year EBITDA (FY2030E)	204,242
Multiple (current EV / TTM EBITDA)	29.4
Terminal Value	6,000,244
Net Present Value	3,712,145
Perpetuity Method	
Unlevered Free Cash Flow (FY2030E)	158,417
Growth Rate	3.0%
Terminal Value	2,304,617
Net Present Value	1,425,788

Discounted Cash Flow Total Valuation	EBITDA Method	Perpetuity Method
Total of Present Value of Cash Flows	532,739	532,739
Present Value of Terminal Value	3,712,145	1,425,788
Total Enterprise Value	**4,244,884**	**1,958,527**
Less: Net Debt / (plus net cash)	(33,763)	(33,763)
Equity Value	**4,278,647**	**1,992,290**
Diluted Share Count (millions)	14,829	14,829
Estimated Equity Value per Share at 27-Sep-2025	$288.53	$134.35
Years from valuation date to pricing date	1.03	1.03
Less: dividends per share paid in the period (FY26E DPS)	$1.06	$1.06
Equity Value per	$317.79	$147.41
Current share price	$340.42	$340.42
DCF value vs. current price: premium / (discount)	(6.6%)	(56.7%)

Source: aApple DCF(4).xlsx, Valuation, unlevered free cash flow and DCF outputs; USD millions unless otherwise stated.

Sensitivity Analysis

EBITDA Exit Multiple Method

$317.79	19.4x	24.4x	29.4x	34.4x	39.4x
8.08%	$243.35	$294.95	$346.55	$398.15	$449.75
9.08%	$233.22	$282.50	$331.78	$381.06	$430.34
10.08%	$223.62	$270.71	$317.79	$364.87	$411.95
11.08%	$214.52	$259.52	$304.52	$349.52	$394.52
12.08%	$205.89	$248.92	$291.95	$334.97	$378.00

Perpetuity Method

$147.41	2.0%	2.5%	3.0%	3.5%	4.0%
8.08%	$177.65	$190.40	$205.66	$224.25	$247.40
9.08%	$152.37	$161.31	$171.74	$184.02	$198.73
10.08%	$133.35	$139.92	$147.41	$156.04	$166.08
11.08%	$118.54	$123.52	$129.11	$135.44	$142.66
12.08%	$106.67	$110.55	$114.85	$119.65	$125.04

Source: aApple DCF(4).xlsx, Valuation, exit-multiple and perpetuity sensitivity analyses.

Forecast cash flow and sensitivity

Fiscal year	Projected unlevered FCF
2026E	$125.1bn
2027E	$135.0bn
2028E	$142.7bn
2029E	$150.8bn
2030E	$158.4bn

Source: aApple DCF(4).xlsx, Valuation, projected unlevered free cash flow.

The exit-multiple approach places substantial weight on the market multiple continuing into FY2030. The perpetuity approach instead assumes cash flows grow at 3% after the forecast. Neither is a guaranteed price target. Sensitivity analysis shows that changes in WACC, exit multiple and terminal growth can materially change fair value. In particular, a 29.38x exit multiple is a demanding assumption and should be tested against a normalized peer group.

Investment interpretation: At the $340.42 reference price, the $317.79 exit-multiple estimate implies approximately 6.6% downside, while the $147.41 perpetuity estimate implies 56.7% downside. The large difference reflects terminal-value assumptions, not a precise forecast of future share-price performance. A HOLD therefore requires confidence in the underlying franchise but does not imply an attractive margin of safety at the reference price.

6. Relative Valuation and Model Limitations

Our relative valuation compares Apple with selected technology peers as of October 7, 2026. The peers differ materially in business models, including software, internet platforms and hardware. Their EV/revenue, EV/EBITDA and earnings multiples should therefore be treated as a cross-check rather than a single interchangeable benchmark. The DCF exit multiple is derived from current enterprise value and trailing EBITDA, not from a separately established long-run industry multiple.

Relative-valuation interpretation: The 29.38x EBITDA exit multiple embedded in the DCF should not be treated as a conservative industry norm. Apple's integrated hardware-and-services mix differs from software,

semiconductor and internet-platform peers. Comparable-company multiples are most useful as a reasonableness check on the terminal assumption, not as a substitute for cash-flow valuation.

Important limitations: the model uses a September 2025 valuation anchor with October 2026 market inputs; forecasts and price inputs are not all from the same date. The report does not independently audit the source data or rebuild the full model. The October 8 price is historical, not a live quote. The DCF estimates are scenario outputs, not assured returns.

7. Risks, Catalysts and What Would Change the View

Principal risks

Hardware concentration: iPhone remains the largest product line, making replacement cycles and premium-phone demand important. Valuation: a high exit multiple leaves the model exposed to a lower market rating. Services: strong revenue growth may slow, and the individual economics of each service are not established by available segment-level information. Semiconductor supply: advanced-node manufacturing capacity and execution could affect costs and product launches. Data risk: forecasts, shipments, user counts and market-share definitions vary across industry sources.

Potential catalysts

Better-than-modeled services growth; stronger hardware replacement demand; successful chip-driven product upgrades; better free cash flow conversion; and a lower entry price that creates a margin of safety. These are possible developments to monitor, not predicted events.

Decision framework

Move toward BUY	Maintain HOLD	Move toward SELL
Price falls enough to create a margin of safety, or supported cash-flow forecasts rise	Business performance remains sound, but valuation is near or above defensible value	Cash-flow outlook weakens, chip or product risks rise, or valuation becomes harder to justify

Source: Author's investment framework, based on the financial and valuation analysis presented in this report.

8. Conclusion

Apple combines a large hardware business with a growing services line. FY2025 financial results support a clear services-growth argument, while iPhone revenue remains central to the company. Apple silicon may help product differentiation, but its financial contribution cannot be quantified from the available financial information. The DCF does not show a margin of safety against its October 8, 2026 reference price: the exit-multiple method indicates modest downside and the perpetuity method much greater downside. A conditional HOLD is the most defensible reading of this model until the price inputs, forecasts and terminal assumptions are refreshed.

Sources and Research Notes

Primary analysis: aApple DCF(4).xlsx (>>Valuation and supporting schedules); aApple Financial Analysis(5).xlsx; Apple_Four_Financial_Analyses(6).xlsx; aApple Trading Comps(4).xlsx; bApple Fundamentals(5).xlsx; bApple Smartphone Industry(5).xlsx; bApple Laptop Industry(5).xlsx; bApple Tablets Industry(5).xlsx; bApple Accessories and Services Industry(5).xlsx. Historical numbers and industry datasets come from these workbooks. The Monster Beverage PDF was used for layout guidance only.

[S1] Apple Support, Mac computers with Apple silicon: https://support.apple.com/en-us/116943

[S2] Apple Newsroom, M5 Pro and M5 Max, 3 March 2026: https://www.apple.com/newsroom/2026/03/apple-debuts-m5-pro-and-m5-max-to-supercharge-the-most-demanding-pro-workflows/

[S3] Apple Newsroom, M6 and M5 Ultra, 25 August 2026: https://www.apple.com/ca/newsroom/2026/08/apple-introduces-m6-and-m5-ultra-for-a-big-leap-in-performance-and-ai-compute/

[S4] TSMC, 2025 Annual Report: https://investor.tsmc.com/static/annualReports/2025/english/index.html

Research disclosure: This is an independent educational equity research exercise, not personalized investment advice. The recommendation is conditional on the valuation assumptions and dated price. No claim of CFA Institute endorsement or compliance certification is made.